Supply Agreement - Pavna Fasteners Industries

Agreement reference CON-S006

1. Parties and Scope

This Supply Agreement is made between Sahyadri Auto Components Pvt Ltd, Plot 114, MIDC Phase II, Chakan, Pune 410501, Maharashtra (the Buyer) and Pavna Fasteners Industries, located at Chhatrapati Sambhajinagar (the Supplier), GSTIN 27YDMSM4461E1Z3. The Supplier shall supply Fasteners items listed in the Buyer's item master against written Purchase Orders (POs) issued by the Buyer.

2. Term

This Agreement is effective from 2022-08-24 and remains valid until 2025-08-23, unless terminated earlier under Clause 11. It may be renewed by mutual written consent.

3. Pricing and Price Revision

Prices are in Indian Rupees (INR), exclusive of GST, and are fixed for twelve months from the effective date. The Supplier may request a revision with 30 days' written notice supported by published raw-material index evidence. A revision takes effect only after written acceptance by the Buyer's Purchase Manager.

4. Lead Time and Delivery

The Supplier shall deliver within 12 calendar days from the date of the PO. Delivery terms: DAP Chakan plant. Deliveries are accepted Monday to Saturday between 9:00 and 17:00 at the Buyer's plant gate. A valid GST invoice, delivery challan and an e-way bill (for consignments above INR 50,000) must accompany every consignment.

5. Order Quantity and MOQ

Each PO line is placed in multiples of the item's pack size and not below the item's minimum order quantity (MOQ) recorded in the item master. A delivered quantity within plus or minus 5 percent of the PO quantity is acceptable.

6. Payment Terms

Payment is due 45 days from the date of receipt of a correct invoice and acceptance of the goods, by NEFT. Disputed quantities are excluded until resolved.

7. Quality

The Supplier's rejection level shall not exceed 3000 parts per million (PPM) measured monthly at the Buyer's incoming inspection. On any rejection the Supplier shall submit an 8D report within 5 working days and replace rejected goods within 7 calendar days, failing which the Buyer may raise a debit note.

8. Delay Penalty

For each full week of delay beyond the delivery date, the Supplier shall pay a penalty of 0.5 percent of the value of the delayed goods, capped at 10.0 percent of the PO value. Delay caused by Force Majeure under Clause 10 is excluded.

9. Expediting and Premium Freight

If a delivery is more than 5 days late, the Buyer may request expediting. Where the delay is attributable to the Supplier, premium freight (air, dedicated vehicle or courier) is borne by the Supplier.

10. Force Majeure

Neither party is liable for failure caused by events beyond reasonable control, including natural disasters, government orders or general strikes, provided written notice is given within 48 hours of the event. Heavy rain or ordinary transport disruption is not Force Majeure unless a government order closes the route.

11. Termination

Either party may terminate with 60 days' written notice. The Buyer may terminate immediately if the Supplier exceeds the PPM limit for three consecutive months.

12. Confidentiality

Drawings, schedules and prices are confidential and shall not be disclosed to third parties.

13. Governing Law and Jurisdiction

This Agreement is governed by Indian law. The courts at Pune have exclusive jurisdiction.